contribute to the gross domestic product (GDP) of a country.



Scientific Research



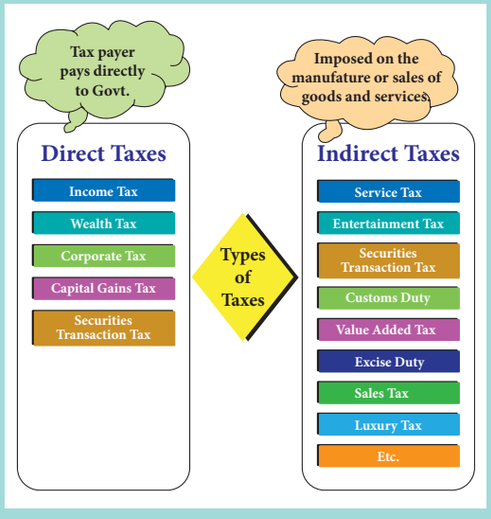
Environmental Protection

Types of tax

In modern times taxes are classified into two types. There are:

1. Direct Tax;

2. Indirect Tax



Direct Tax

A **Direct tax** is paid directly by an individual or organisation to imposing entity.

A tax payer, for example, pays direct taxes to the Government for different purposes, including real property tax, personal property tax, income tax or taxes or on asserts.



Income Tax



Central Board of Revenue bifurcated and a separate Board for Direct Taxes known as Central Board of Direct Taxes (CBDT) constituted under the Central Board of Revenue Act, 1963.

Other examples of direct tax are

Corporation Tax



Corporation Tax

It is levied on profit of corporations and companies. It is charged on royalties, interest, gains from sale of capital assets located in India, fees for technical services and dividends.

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